

BAXTER INTERNATIONAL INC BAX

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by

murman

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Price:	22.00	EPS	0	0
Shares Out. (in M):	514	P/E	0	0
Market Cap (in \$M):	11,300	P/FCF	0	0
Net Debt (in \$M):	7,600	EBIT	0	0
TEV (in \$M):	18,900	TEV/EBIT	0	0

Description

Baxter International is a hospital-focused medtech and medical-products company. It sells essential products used in hospitals, clinics, nursing homes, surgery centers and home care: intravenous (IV) solutions, infusion pumps, administration sets, parenteral nutrition, surgical sealants, hospital beds, patient monitoring, diagnostics, respiratory devices, injectable drugs, inhaled anaesthesia and drug-compounding services. Baxter itself describes the business as a global medical technology company serving hospitals, nursing homes, rehab centers, ambulatory surgery centers, doctors' offices and patients at home.

In 2025 Baxter reported \$11.2bn of revenue and \$1.5bn of adjusted operating profit. After the 2023 reorganization the company has three segments: Medical Products & Therapies (core business), Healthcare Systems & Technologies (mostly Hill-Rom acquisition) and Pharmaceuticals.

At 11x earnings Baxter is priced as a structurally impaired business, yet in our view this situation has three elements that make it interesting:

- Baxter's issues are mostly self-inflicted (vs structural) and can be fixed;
- Baxter operates in growing markets;
- New CEO Andrew Hider, with a background at Danaher/ATS Corp, has the right playbook for Baxter and has a verified track record of execution on that playbook.

To understand current setup at Baxter we need to take a look at its history.

Baxter began in 1931, when Don Baxter and Ralph Falk built a business around commercially prepared sterile IV solutions. The original insight was simple but important: hospitals were mixing fluids themselves, which created inconsistency and contamination risk. Baxter industrialized a basic but life-saving hospital product. Baxter's own history emphasizes first-of-kind innovations across IVs, renal care, nutrition, respiratory care, hospital beds and connected care.

By the 1950s - 1970s, Baxter had expanded beyond IV solutions into renal care, blood-related products, and international markets. Company-history sources note milestones such as international expansion in Belgium in the 1950s and the introduction of artificial kidney technology. Baxter became a Fortune 500 company in 1971.

The big transformation came in 1985, when Baxter Travenol merged with American Hospital Supply Corporation in a deal valued around \$3.8bn. This turned Baxter from a more specialized medical-products company into a much broader hospital supplier.

This deal matters because it explains Baxter's later complexity. The company became a kind of hospital-products conglomerate: supplies, distribution, devices, therapies, and services. The upside was scale and hospital relationships. The downside was sprawl.

One of the most interesting things about Baxter is that some of its best assets arguably became more valuable after leaving Baxter. Baxter spun off Caremark in 1992, Allegiance in 1996, Edwards Lifesciences in 2000, and Baxalta (biopharma business) in 2015.

After Baxalta left, what remained at Baxter was a global hospital/renal/medical-products company with good market positions but low margins, stranded costs, and a stale governance setup. Baxter's own pre-spin plan was modest: about 4% constant-currency sales CAGR and adjusted operating margin moving from roughly 9% in 2H 2015 to 14% by 2020.

Third Point

In August 2015, Dan Loeb's Third Point told Baxter it had economic exposure to Baxter of nearly 10% of shares, making it Baxter's largest shareholder. The letter was not a classic "public attack" letter. It praised the Baxalta spin and CEO succession plan, but pushed hard for board seats, involvement in CEO selection, better capital allocation, and governance reform. Loeb specifically criticized Baxter's staggered board and voting structure as "shareholder unfriendly and archaic."

Baxter settled quickly. In September 2015, it agreed to add Third Point partner Munib Islam to the board, add another mutually agreed independent director, put Islam on the executive-search working group and audit committee, and move toward annual director elections.

Joe Almeida

In October 2015, Baxter named Jose "Joe" Almeida chairman and CEO, effective January 2016. This was the core of the activist thesis. Almeida had run Covidien before its sale to Medtronic and was viewed as an operationally sharp, medtech-experienced CEO with a cost/margin playbook. Baxter itself emphasized his record of improving profitability and creating value.

The early numbers looked excellent. Baxter's margin trajectory improved far beyond the original 2015 plan. By Q3 2019, Baxter reported adjusted operating margin equal to 19.5% of sales, versus the original post-spin plan of only about 14% by 2020.

Yet there is evidence such margin expansion went too far and eventually led to underinvestment in business as reflected in lower R&D and capex intensity as well as product quality, regulatory, manufacturing and supply chain issues.

For example, R&D as share of revenue declined from 6% in 2015 to 4.2% in 2021. Capex/revenue ratio declined from 9.1% in 2015 to 5.8% in 2021. Capex was barely covering depreciation expense, hovering between 1.0x and 1.3x after 1.5x in 2015. Revenue growth was weak at 4% CAGR during 2015-2021, even that modest growth rate was not entirely organic.

USD m	2015	2016	2017	2018	2019	2020	2021
Revenue	9,968	10,163	10,584	11,099	11,362	11,673	12,784
R&D	603	647	615	654	595	521	534
R&D/Revenue	6.0%	6.4%	5.8%	5.9%	5.2%	4.5%	4.2%
Capex	911	719	616	659	696	709	743
Capex/Revenue	9.1%	7.1%	5.8%	5.9%	6.1%	6.1%	5.8%
R&D + Capex / Revenue	15.2%	13.4%	11.6%	11.8%	11.4%	10.5%	10.0%

Product quality problems showed up in areas where underinvestment can hurt. While this is not proof of cost-cutting causality, because infusion-pump problems predated Almeida and medtech recalls are common, the pattern is uncomfortable. Baxter recorded a \$29m charge in 2020 for Sigma Spectrum infusion-pump remediation, and in 2022 the FDA classified a large Spectrum infusion-pump recall as Class I, affecting more than 270,000 devices, with Baxter reporting 51 serious injuries and three deaths over five years. Later, Novum IQ also had serious software-anomaly corrections; FDA classified the recall as the most serious type and warned of potential serious injury or death if not corrected.

What looks like as overoptimization of manufacturing footprint also left company unprepared to the impact of hurricane Helene which disrupted North Cove facility for long enough to result in permanent decline in fluid consumption at hospitals.

Third Point started reducing their stake in 2018 and by Q3 2020 was no longer a shareholder. During the time of their involvement Baxter stock roughly doubled, before dividends.

HillRom

Doubling margins in five years was a strong tailwind for earnings in a company that was growing top line at mid-single digits. By 2020 margin expansion engine was running out and Almeida needed another growth driver.

In 2021, Baxter agreed to buy manufacturer of smart beds Hillrom for \$10.5bn equity value, or about \$12.4bn enterprise value including debt. Baxter expected about \$250m of annual pre-tax cost synergies by year 3, mainly from back office, manufacturing/supply chain infrastructure, and G&A. Management guided to low-double-digit adjusted EPS accretion in year 1, rising to 20%+ by year 3, and high-single-digit ROIC by year 5. Strategically, management pitched it as connected care, monitoring, digital health, and a broader medtech platform.

In practice, Baxter made a transformational acquisition at the top of the cycle and financed it with variable rate debt right before inflation (and interest rates) exploded. In 2022 Baxter faced a perfect storm of supply-chain constraints, component shortages, inflation, FX, and hospital capital-spending pressure. This mattered because Hillrom was more exposed to capital equipment and installations than Baxter's historical consumables base. Baxter explicitly lowered outlook because of supply-chain and inflation pressures in 2022.

In Q3 2022 Baxter took a \$3.1bn pre-tax impairment tied to the Hillrom acquisition. The company blamed rising rates, lower market valuations, and supply-chain pressure on earnings forecasts for the legacy Hillrom businesses. The Hillrom acquisition materially increased leverage, and Baxter had to prioritize debt reduction rather than growth optionality. By early 2023, management announced a major strategic reset: separate Kidney Care, simplify commercial and manufacturing footprint, and review strategic alternatives for BioPharma Solutions.

In 2023 Baxter agreed to sell BioPharma Solutions for \$4.25bn, with net proceeds earmarked for debt repayment. In 2024 it moved to sell Vantive (Kidney Care business) to Carlyle for \$3.8bn, again largely to reduce debt.

Joe Almeida retired from executive roles effective February 2025. In July 2025 Baxter appointed a new CEO - Andrew Hider.

Andrew Hider

New CEO Andrew Hider is an ex-Danaher manager with a 9-year track record of running a publicly traded company (ATS Corp) and creating substantial shareholder value. His career path prior to Baxter:

- He started at GE in 2000 and spent about six years across manufacturing, project management, procurement and finance, ending as president and general manager of GE Tri-Remanufacturing.
- He then spent 10 years at Danaher in increasingly senior roles. He was GM of Dover Instruments, then VP/GM of Anderson Instruments, president of XOS, and finally president of Veeder-Root, a fuel-management / automated tank-gauge business. This matters because his "operating system" DNA is closer to industrial process discipline than to medtech commercial strategy.
- In 2016 he joined Taylor Made Group as COO and then became president and CEO effective Sept. 1, 2016. Taylor Made supplied products and systems for marine, transportation, agriculture and construction markets.
- Hider became CEO of ATS in March 2017 and joined its board in May 2017. ATS is an automation company serving life sciences, food & beverage, transportation, consumer products and energy markets. When he arrived, ATS was roughly a CAD\$1bn revenue industrial automation business with FY2017 adjusted earnings from operations of CAD\$97.1m, a 10% margin; Hider's early stated focus was visiting employees/customers and assessing operations, competitive position and strategy. By FY2024, ATS had CAD\$3.03bn of revenue, CAD\$470.6m of adjusted EBITDA and over 7,000 employees; management attributed improvement partly to ongoing use of the ATS Business Model. Cash return on investment (Incremental EBITDA/incremental capital invested) during FY2018-FY2026 was 15%. Shareholders did well as ATS share price compounded at 14% per year (stock more than tripled).

Within six weeks of becoming CEO of Baxter Hider introduced GPS, Growth and Performance System. It is an attempt to install a Danaher-style operating system: common metrics, daily management, kaizen, problem solving and decentralized accountability. Baxter describes GPS as the "enterprise operating system for continuous improvement". GPS has three core concepts: People, Process, Performance. Then it adds an operating cadence: daily management, monthly/quarterly results reviews, annual operating plan, strategic planning/long-range plan. It also adds tools: performance management, organization/talent development, goal deployment, Lean/Six Sigma, ideation, and problem solving. Finally, it tracks "value creators" around people, customers, and financials (total 8 metrics). The value-creator metrics are important. Baxter shows: people = (1) hire from within and (2) retention; customer = (3) on-time delivery and (4) quality; financial = (5) revenue, (6) operating income, (7) free cash flow, and (8) ROIC. Hider wants everyone to know quickly whether a business/site/function is "red or green," what countermeasures are being taken, and who owns the result.

Most of the current problems at Baxter are a result of prior management's poor decisions, not the declining relevance of their products:

- **Overleveraged balance sheet.** At 3.9x Net debt/EBITDA Baxter remains substantially constrained in terms of capital allocation choices. One of the first capital allocation decisions Hider made was to cut the dividend to \$0.01/share beginning January 2026 to free cash for deleveraging, the move should free more than \$300m of annual cash flow. Currently management expects to reach 3.0x net leverage target by the end of 2026.
- **Inconsistent execution (weak "say-do ratio" as Hider frames it).** Baxter has had repeated guidance disappointments and moving targets. In 2025, management lowered operational sales growth guidance from 3-4% to 1-2%, citing evolving dynamics across parts of the business, Novum uncertainty, IV softness and pharma softness. In 2026, Baxter guided below expectations, with Novum uncertainty and weaker IV demand being the major issues.
- **Quality problem in infusion pumps.** Novum IQ is not just a "product issue", it is a regulatory, quality and commercial trust problem. Baxter initiated multiple voluntary Novum corrections, the FDA classified them as Class I recalls, and Baxter temporarily stopped selling Novum LVP in the U.S. and Canada except for medical necessity. Baxter recorded about \$105m of Novum-related sales reductions and other impairments in 2025.
- **Incomplete Hillrom integration and post-Kidney Care/Pharma separation complexity.** Baxter still has Hillrom-related integration items, corporate cost allocations, dis-synergies, TSA/MSA complexity, and a business mix that was reorganized several times. Baxter's filings still refer to Hillrom acquisition and integration expenses, and HST segment profitability was hurt in 2025 by higher corporate cost allocation after the Kidney Care sale.
- **Bureaucracy/sprawl.** This is why Hider is pushing GPS, decentralization and fewer layers. In October 2025 Hider eliminated a Chief Operating Officer role, segment management layer and embedded critical functional roles directly in each business. The goal is for each business leader to have full P&L responsibility, with commercial, R&D, manufacturing, medical, and targeted functional support aligned inside the business. The employee reviews we checked confirm this issue: one engineer described Hider as promising but said leadership below him and central functions such as regulatory affairs, quality assurance and IT were blocking execution. On top of fixing bureaucracy Hider is also trying to instill his thinking on capital allocation and leadership by making his leaders read two books: "The Outsiders" by William Thorndike and "Extreme Ownership" by Jocko Willink.
- **Excessive cost cuts by prior management.** This is probably the most important problem that has to be addressed for the long-term organic growth story, although this is also hard to do as it will require making long-term investments without immediate results to show. In our view, Hider's willingness to address this issue will determine whether Baxter will have a strong foundation to build upon or will remain a struggling, unfocused conglomerate losing market share and waiting for another activist involvement in a couple of years. There are some signs Hider understands this, for example, JPM presentation from January 2026 lists organic growth investments as top capital allocation priority after fixing the balance sheet; Hider also recently said that organic growth investments typically have the highest expected return. He also said that Baxter might consider selling some weak businesses in the future. On top of that Hider's compensation scheme includes ROIC metric which itself should encourage him to review logic around current portfolio.

We believe Baxter's core business is not structurally impaired. Baxter markets are growing at low single digit rates with multiple tailwinds from ageing population, hospital labour shortage (Connected Care), surgical procedure growth and digitalization of hospitals. In Q1 2026 41% of revenue was from stable or growing sub-segments including Advanced Surgery, Care & Connectivity Solutions and Drug Compounding.

Valuation

While we do not expect operating margins to return to Almeida's 20%-level era, in our view, taking into account 1) recent portfolio changes (margin dilutive) and 2) potential impact of GPS (margin accretive), high teens look realistic as a new baseline.

Assuming 17% operating margin in 2030 and reinstatement of dividend in 2028 we see a path to \$2.60 EPS and high-teens IRR at the stock current price. This does not include optionality from M&A once balance sheet and internal reinvestment issues are fixed; so there is upside to this outlook.

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Catalyst

Reduction in net debt-to-EBITDA to 3.0x

Investor Day (no confirmed date yet)

Appointment of a new CFO

Improvement in earnings quality (narrowing of the GAAP-to-adjusted earnings gap)

Messages

Subject	Questions
Entry	07/25/2026 07:14 PM
Member	tps12

Hi murman - Thanks for the intriguing idea. Very interested to hear your perspective on the questions below:

1. How do you think about the % of revenue that should be viewed as recurring? Curious how you underwrote the split between equipment, consumables, and service given BAX's disclosure is limited in this regard
2. Please walk through the key building blocks to bridge from LTM margins to the 17% 2030E margin figure you cited?
3. Do you have a view on the recent CFO departure apart from BAX's press release?

Thank again